

TENTATIVE RULING

Monterey Bay Emergency Partners

v.

Erin Sullivan, M.D., Inc.

26CV001118

Defendant's Motion for Reconsideration

Hearing Date: August 21, 2026

The motion by Defendant Erin Sullivan, M.D., Inc. ("Defendant") for reconsideration of the Court's July 13, 2026, order denying the anti-SLAPP motion is **DENIED**. Defendant failed to demonstrate the required diligence under Code of Civil Procedure section 1008 and did not provide a satisfactory reason for not raising in the original motion the peer-review theory or citing *Economy v. Sutter East Bay Hospitals* (2019) 31 Cal.App.5th 1147. Even if reconsideration was procedurally proper, the peer-review statutes do not apply to the dissolution of a medical general partnership based on allegations of business conduct rather than clinical competence. Plaintiff Monterey Bay Emergency Partners ("Plaintiff") met its minimal burden in opposing the anti-SLAPP motion, and Defendant has not changed that conclusion.

The Court **OVERRULES** Plaintiff's evidentiary objection to paragraph three of defense counsel Mark O'Connor's declaration. The declaration clearly explains what happened during the original hearing and why counsel raised the peer-review issue after the hearing. Any legal opinions in the declaration are considered argument, not evidence. Additionally, the Court **OVERRULES** Plaintiff's objection to the deposition excerpt in Exhibit Two of Mr. O'Connor's declaration, as that objection is not a valid evidentiary reason.

The Case Management Conference following the motion hearing is **MAINTAINED**.

Plaintiff shall prepare the Proposed Order consistent with this Tentative Ruling.

Background and the Parties' Arguments.

Plaintiff is a medical partnership that staffs the emergency department at the Community Hospital of the Monterey Peninsula ("CHOMP"). Plaintiff seeks Defendant's judicial expulsion under Corporations Code section 16601, alleging that although Dr. Erin Sullivan is an excellent clinician, she has been combative, accusatory, and uncooperative as a business partner, severely impairing the partnership's ability to function. [See Complaint at ¶¶ 3, 9, 11, 14-33.]

Defendant filed an anti-SLAPP motion [see Code Civ. Proc. § 425.16], asserting that the Complaint targeted Dr. Sullivan's protected advocacy regarding patient-care concerns. The Court denied the motion on July 13, 2026. Defendant now seeks reconsideration, arguing for the first time that peer-review procedures under Evidence Code section 1157 and Business & Professions Code section 805 et seq. constitute the exclusive mechanism for removing a physician from practice in the emergency department.

In its motion, Defendant contends that the Court did not have the benefit of relevant peer-review law at the initial hearing and now argues that *Economy*, 31 Cal.App.5th 1147, establishes that peer review is the exclusive mechanism for expelling a physician or restricting hospital privileges. Defendant asserts the Complaint unlawfully circumvents the peer-review process, and that reconsideration is appropriate because the motion presents “different facts, circumstances, or law.”

In opposition, Plaintiff argues that reconsideration is procedurally defective because Defendant identifies no new facts, circumstances, or law, and offers no explanation for failing to raise *Economy* earlier. Plaintiff emphasizes that it is not challenging Dr. Sullivan’s clinical competence but her conduct as a business partner. Plaintiff cites *Shahinian v. Cedars-Sinai Medical Center* (2011) 194 Cal.App.4th 987 for the principle that business disputes unrelated to medical competency do not trigger peer-review procedures. Plaintiff further contends that Dr. Sullivan’s CHOMP privileges need not—and would not—be terminated if she left the partnership.

Legal Standard.

A party may move for reconsideration of an order within 10 days after service on the party of written notice of the order. [Code Civ. Proc. § 1008, subd. (a).] The statute also requires that any motion for reconsideration be based “upon new or different facts, circumstances, or law” that the Court previously did not consider. [*Id.*; *New York Times Co. v. Superior Court* (2005) 135 Cal.App.4th 206, 212-213.] However, the burden under Code of Civil Procedure section 1008 “is comparable to that of a party seeking a new trial on the ground of newly discovered evidence: the information must be such that the moving party could not, with reasonable diligence, have discovered or produced it at the trial.” [*Ibid.*; *Even Zohar Construction & Remodeling, Inc. v. Bellaire Townhouses, LLC* (2015) 61 Cal.4th 830, 833 (finding that the reconsideration statute imposes the special requirement of having to not only show new or different facts, circumstances, or law, but also to “show diligence with a satisfactory explanation for not presenting the new or different information earlier...”)]. A disagreement with a ruling is not a new fact that will support a grant of reconsideration. [*Gilberd v. AC Transit* (1995) 32 Cal.App.4th 1494, 1500.]

If the above statutory requirements are met, reconsideration should be granted. However, a court is not required to change its decision upon reconsideration. [*Corns v. Miller* (1986) 181 Cal.App.3d 195, 202.] Although parties may move for reconsideration only as authorized by Code of Civil Procedure section 1008, the statute “do[es] not limit the court’s ability, on its own motion, to reconsider its prior interim orders so it may correct its own errors.” [*Le Francois v. Goel* (2005) 35 Cal.4th 1094, 1107.]

Discussion.

A. Procedural Deficiencies.

Defendant relies on *Economy*, 31 Cal.App.5th 1147—a 2019 case available long before Defendant filed its anti-SLAPP motion—and provides no explanation for failing to raise it earlier. In support of the motion, defense counsel merely states that the Court and parties “did not have the benefit” of peer-review law at the hearing [O’Connor Decl. at ¶ 3], without identifying any new law or fact discovered after the ruling. [*Even Zohar*, 61 Cal.4th at 833.] Nor did defense counsel “show diligence with a satisfactory explanation for not presenting the new or different information earlier.” [*Id.*] Because Code of Civil Procedure section 1008 requires diligence and a satisfactory explanation for the delay, Defendant’s motion is procedurally and fatally defective.

Defendant’s citation to *Le Francois*, 35 Cal.4th 1094, is unpersuasive. [Reply at 1.] While it affirms the Court’s inherent authority to reconsider on its own motion, *Le Francois* does not relax the statutory restrictions on party-initiated reconsideration. If Defendant uses *Le Francois*, 35 Cal.4th at 1108, as a basis to informally request the Court to revisit its previous anti-SLAPP decision, arguing that partnership dissolution falls under peer-review-committee law, the Court respectfully declines this request.

B. Substantive Deficiencies.

Even if reconsideration were proper, Defendant’s peer-review theory does not justify altering the Court’s prior order denying Defendant’s anti-SLAPP motion.

First, *Economy*, 31 Cal.App.5th 1147, is distinguishable. That case involved the termination of a doctor’s hospital privileges for documented clinical deficiencies, which triggered mandatory peer review. [*Id.* at 1154-1155.] Here, Plaintiff seeks to dissolve based on Dr. Sullivan’s interpersonal conduct as a business partner. [See Complaint at ¶¶ 3, 9, 11, 14-33.] The Complaint expressly states she is an “excellent clinician.” [*Id.* at ¶¶ 12-13.] Thus, unlike *Economy*, there is no allegation of Dr. Sullivan’s substandard medical care or her placing patients in clinical jeopardy. Moreover, *Economy* itself recognizes that not all hospital-related decisions require peer review—only those involving competency or medical disciplinary cause. [*Id.* at 1160.] This is consistent with *Shahinian*, 194 Cal.App.4th at 1004-1005, which holds that business or contractual disputes do not implicate peer review because they do not concern medical competence or patient safety. *Abrams v. St. John’s Hospital & Health Center* (1994) 25 Cal.App.4th 628, 639, which is cited in *Economy*, 31 Cal.App.5th at 1160, similarly acknowledges that peer-review rights attach only when a hospital takes adverse action for “medical disciplinary cause or reason” under Business & Professions Code section 805, which is not the case here.

Second, even if this Court reconsiders its anti-SLAPP order, Plaintiff’s prima facie showing under the second prong of the anti-SLAPP statute—probability of prevailing on the merits—remains adequate. [Code Civ. Proc. § 425.16, subd. (b)(1).] Defendant has not demonstrated that peer-review statutes categorically bar a judicial-expulsion claim based on business-related conflict. Plaintiff’s theory is legally tenable and supported by evidence,

satisfying the “not particularly high” burden required to defeat the anti-SLAPP motion. [*Area 51 Productions, Inc. v. City of Alameda* (2018) 20 Cal.App.5th 581, 602.]

Conclusion.

Defendant’s motion is **DENIED**, and Plaintiff’s evidentiary objections to Mr. O’Connor’s Declaration are **OVERRULED**. The Court’s prior order denying Defendant’s anti-SLAPP motion is maintained.

Plaintiff shall prepare the Proposed Order consistent with this Tentative ruling.

NOTE RE TENTATIVE RULING

This tentative ruling becomes the court’s order, and no hearing shall be held unless one of the parties contests it by following Rule 3.1308 of the California Rules of Court and Monterey County Local Rule 7.9. Those parties wishing to present an oral argument must notify all other parties and the Court no later than 4:00 p.m. on the court day before the hearing; otherwise, **NO ORAL ARGUMENT WILL BE PERMITTED, AND THE TENTATIVE RULING WILL BECOME THE ORDER OF THE COURT AND THE HEARING VACATED.** You must notify the court by [email](#) or by calling the Calendar Department at 831-647-5800, extension 3040, before 4:00 p.m. on the court day before the hearing.